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A Reserve Bank at Last

THE FIRST ROUND TABLE CONFERENCE, held in London during December 1930–January 1931, (which Purshotamdas did not attend) discussed the need for a central bank and some of the Indian delegates like M.R. Jayakar, Sir Tej Bahadur Sapru, and Sir Mirza Ismail expressed this need on a non-political basis. The report of the ICBEC (1931) had also recommended the establishment of the RBI at the earliest possible date. A Committee was appointed by the India Office with Reginald A. Mant as its Chairman to advise on the nature of Reserve Bank legislation. The highlights of its report in March 1933 was a shareholders' bank and a small Board consisting of a Governor, a Deputy Governor, four Directors to be nominated by the Governor General at his discretion, eight Directors representing the shareholders, and one government nominee with no voting rights.

Another Committee met in London in July 1933 to draft a Bill for this purpose. Known as the London Committee, it included authorities on central banking, financial administrators from India and England, members of the Indian Legislature, and representatives of the business community. Its members included Akbar Hydari, Sir Mirza Ismail, Cowasjee Jehangir (Jr) H.P. Mody, V. T. Krishnamachari, and Purshotamdas. The London Committee recommended a private shareholders' bank and a Board of fifteen or sixteen members.[1]

The Reserve Bank Bill (1933) was drafted on the basis of the recommendations of the London Committee and introduced in the